

Personal Financial Planning

Savings, Spending Management & Financial Discipline

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Course: Personal Financial Planning

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Course Outline

- Introduction to Savings
- Benefits of Savings
- Managing Spending
- Financial Discipline
- Alerts and Fixed Commitments
- Case Studies and Examples

What is Personal Financial Planning?

Personal Financial Planning is a systematic process of:

- Managing income and expenses
- Saving and investing efficiently
- Achieving short-term and long-term financial goals

Introduction to Savings

Savings is the portion of income not spent on current consumption.

- $\text{Income} = \text{Consumption} + \text{Savings}$
- Foundation of financial security

Why Do People Save?

- Emergency needs
- Future goals (education, home, retirement)
- Risk protection
- Wealth creation

Types of Savings

- Short-term savings (emergency fund)
- Medium-term savings (car, travel)
- Long-term savings (retirement)

Example: Savings Decision

Monthly Income: 50,000

- Expenses: 40,000
- Savings: 10,000 (20%)

Rule: Pay yourself first.

Benefits of Savings

- Financial security
- Reduced dependence on debt
- Ability to handle emergencies
- Peace of mind

Savings and Financial Freedom

Savings enable:

- Choice-based decisions
- Early retirement
- Risk-taking capacity

Case Study 1: Emergency Fund

Mr. A saved 6 months of expenses.

- Lost job unexpectedly
- No loans required
- Maintained lifestyle

Lesson: Emergency savings reduce stress.

What is Spending Management?

Spending management means:

- Tracking expenses
- Controlling unnecessary spending
- Aligning expenses with income

Needs vs Wants

- Needs: Rent, food, utilities
- Wants: Dining out, gadgets, luxury

Effective planning prioritizes needs.

The 50–30–20 Rule

- 50% Needs
- 30% Wants
- 20% Savings

Simple and practical budgeting rule.

Example: Monthly Budget

Income: 60,000

- Needs: 30,000
- Wants: 18,000
- Savings: 12,000

Common Spending Mistakes

- Impulse buying
- Overuse of credit cards
- Lifestyle inflation

Financial Discipline

Financial discipline is the ability to:

- Control spending behavior
- Stick to financial plans
- Delay gratification

Importance of Financial Discipline

- Achieves long-term goals
- Prevents debt traps
- Builds wealth consistently

Case Study 2: Credit Card Trap

Ms. B used credit cards excessively.

- Minimum payments only
- High interest burden

Lesson: Discipline prevents financial stress.

Fixed Financial Commitments

- Rent / Home loan EMI
- Insurance premiums
- School fees
- Utility bills

Importance of Timely Payments

- Avoid penalties
- Maintain credit score
- Ensure uninterrupted services

Setting Alerts

Financial alerts help by:

- Reminding due dates
- Avoiding missed payments
- Monitoring account balance

Types of Financial Alerts

- SMS / App alerts
- Calendar reminders
- Auto-debit notifications

Maintaining Sufficient Funds

- Keep buffer balance
- Prioritize fixed expenses
- Avoid overdraft charges

Case Study 3: Missed EMI

Mr. C forgot EMI payment.

- Penalty charged
- Credit score reduced

Solution: Auto-debit and alerts.

Integrating Savings and Discipline

- Automate savings
- Budget regularly
- Review financial goals

Key Takeaways

- Savings create security
- Spending management ensures balance
- Discipline ensures success
- Alerts prevent financial mistakes

Good financial planning is not about income level, but about:

Habits, discipline, and consistency